

SENATE BILL 317

By Lowe

AN ACT to amend Tennessee Code Annotated, Title 3,
Chapter 6 and Title 4, relative to agents of foreign
entities.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 3, Chapter 6, is amended by adding the
following as a new part:

3-6-401. Findings.

The general assembly finds that:

(1) The voters, citizens, and policymakers of this state are entitled to
transparency in the political and propaganda activities of organizations that may
be controlled by or under the influence of foreign countries hostile to the interests
of this state and of the United States;

(2) In an increasingly globalized world, determining whether an
organization's political and propaganda activities are funded by hostile foreign
interests is often difficult; and

(3) Legislation is needed to ensure the transparency necessary to allow
voters, citizens, and policymakers to evaluate whether political and propaganda
activities are funded by potentially hostile foreign actors.

3-6-402. Part definitions.

As used in this part:

(1) "Agent of a hostile foreign principal" means:

(A) An individual who acts as an agent, employee, representative, or servant, or otherwise acts at the order, request, or under the direction or control of a hostile foreign principal;

(B) Whose actions are financed in whole or in part by a hostile foreign principal; and

(C) Who engages in political activity;

(2) "Foreign-supported political organization" means a political party or a domestic partnership, association, corporation, organization, or any other combination of persons that has, within the past five (5) calendar years, received money or other things of value from a hostile foreign principal or an agent of a hostile foreign principal and that engages in political activity;

(3) "Hostile foreign nation" means the People's Republic of China, the Russian Federation, the People's Republic of North Korea, and the Islamic Republic of Iran;

(4) "Hostile foreign principal" means:

(A) A government of a hostile foreign nation, a political party of a hostile foreign nation, or any member of a political party of a hostile foreign nation;

(B) A nonresident alien of a hostile foreign nation;

(C) A partnership, association, corporation, organization, or other combination of persons organized under the law of or having its principal place of business in a hostile foreign nation; or

(D) A domestic partnership, association, corporation, organization, or other combination of persons that is at least twenty percent (20%) beneficially owned by a hostile foreign government, a

nonresident alien of a hostile foreign nation, or an entity organized under the laws of or having its principal place of business in a hostile foreign nation; and

(5) "Political activity" means an activity that is performed to influence an agency or public official of this state, a local governmental entity within this state, or the public within this state, with reference to formulating, adopting, or changing the policies or laws of this state or electing or opposing a candidate for local or state public office.

3-6-403. Registration of representatives of hostile foreign principals.

(a) A person shall not act as an agent of a hostile foreign principal unless the person has filed with the Tennessee ethics commission a true and complete registration statement and supplements to such statements as required by this part.

(b) Each person who is an agent of a hostile foreign principal shall, within ten (10) days after becoming an agent, file with the Tennessee ethics commission a registration statement, under oath, on a form prescribed by the Tennessee ethics commission. The obligation of an agent of a hostile foreign principal to file a registration statement shall, after the tenth day of becoming an agent, continue from day to day, and the termination of such status does not relieve such agent from the obligation to file a registration statement for the period during which the person was an agent of a foreign principal.

(c) The registration statement must include the following:

(1) Registrant's name, principal business address, and all other business addresses in the United States or elsewhere, and all residential addresses, if any;

(2) A comprehensive statement of the nature of the registrant's business;

(3) A statement of the nature of the work of each hostile foreign principal for whom the registrant is acting, assuming, or purporting to act or has agreed to act, and the character of the business or other activities of every such hostile foreign principal. For a hostile foreign principal that is not a natural person, such statement must also detail the ownership and control to which each such foreign principal is supervised, directed, owned, controlled, financed, or subsidized, in whole or in part, by any government of a hostile foreign nation or political party of a hostile foreign nation, or by any other hostile foreign principal;

(4) The nature and amount of contributions, income, money, or thing of value, if any, that the registrant has received within the preceding sixty (60) days from each such hostile foreign principal, either as compensation or for disbursement or otherwise, and the form and time of each such payment and from whom received;

(5) A detailed statement of every activity that the registrant is performing or is assuming or purporting or has agreed to perform for the registrant or any other person other than a hostile foreign principal and that requires registration under this part;

(6) The name, business, and residential addresses, and if an individual the nationality, of any person other than a hostile foreign principal for whom the registrant is acting, assuming, or purporting to act or has agreed to act under such circumstances that require registration under this part;

(7) The nature and amount of contributions, income, money, or thing of value, if any, that the registrant has received during the preceding sixty (60) days from each person in connection with any of the activities referred to in subdivision (c)(6);

(8) A detailed statement of the money and other things of value spent or disposed of by the registrant during the preceding sixty (60) days in furtherance of or in connection with activities that require the registrant's registration under this part and that have been undertaken by the registrant either as an agent of a hostile foreign principal or for the registrant or any other person or in connection with any activities relating to the registrant becoming an agent of such principal;

(9) A detailed statement of any contributions of money or other things of value made by the registrant during the preceding sixty (60) days to bring about the nomination or election of a candidate for any office, to bring about the recall of a public officer holding elective office, to oppose the recall of a public officer holding elective office, to bring about the approval or rejection by the voters of any proposed constitutional amendment, a state-wide referendum, or a proposed question that is to appear on the ballot in this state or in a county or a municipal election in this state; and

(10) Such other statements, information, or documents pertinent to the purposes of this part as the Tennessee ethics commission may from time to time require.

(d) The Tennessee ethics commission shall by rule require a registrant to update the information required by subsection (c) on at least a quarterly basis.

3-6-404. Transparency in foreign-supported political organizations.

(a) No later than July 1, 2025, each foreign-supported political organization shall register with the Tennessee ethics commission and provide the following information:

(1) The name of the organization, its business address, and the names, titles, and addresses of all officers and directors of the organization;

(2) If the organization is affiliated with, or a chapter of, a national organization, the name of the national organization, its address, and the names and addresses of its officers and directors;

(3) A detailed statement of any expenditures of money or other things of value made by the organization within the prior calendar year to influence any agency or public official of this state, any local governmental entity within this state, or the public within this state, with reference to formulating, adopting, or changing the policies or laws of this state or electing a candidate to local or state public office; and

(4) A detailed statement of all money or other things of value received by the organization from a hostile foreign principal or an agent of a hostile foreign principal during the preceding calendar year.

(b) The Tennessee ethics commission shall, by rule, require a registered foreign-supported organization to update the required information on no less than a quarterly basis.

3-6-405. Penalties for violation – Authority of Tennessee ethics commission – Role of attorney general and reporter.

(a) Upon receipt of a complaint that an agent of a hostile foreign principal or a foreign-supported political organization has failed to comply with the registration and reporting requirements of this part, or upon its own determination, the Tennessee ethics commission shall have authority to investigate and to assess penalties for the violation of this part.

(b) The Tennessee ethics commission may assess penalties up to and including the following:

(1) For any violation, up to five hundred dollars (\$500) per infraction; and

(2) For willful or repeated violations, up to ten thousand dollars (\$10,000) per infraction and, if the violator is an attorney, a reference of the matter to the supreme court for disbarment.

(c) The Tennessee ethics commission may refer any matter to the attorney general and reporter for further civil or criminal action.

SECTION 2. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 3. This act takes effect upon becoming a law, the public welfare requiring it.